Figma's Q1. Adobe's Q2.

46% revenue growth. 14% on the day. The AI displacement narrative did not survive contact with the numbers.



PRIMARY SOURCE ARBITRAGE

MAY 16, 2026

Figma reported Q1 2026 revenue of $333 million, up 46% YoY, accelerating for the second consecutive quarter. Net dollar retention reached 139%, the highest level in over two years. The stock was up 14% on the day.

The design software AI displacement narrative: fewer seats, compressing revenue, structural franchise impairment. It did not survive contact with the numbers.



FIG 1D (top): close $22.92, +13.24% on May 15, 2026. ADBE 1D (bottom): close $247.60, +4.47% on May 15, 2026. Source: TradingView.

What Adobe’s CEO said about every AI competitor announcement

Shantanu Narayen, Adobe Summit, April 21, 2026: “Every single time you hear about a new additional surface, whether it’s Microsoft Copilot, whether it’s ChatGPT, whether it’s Anthropic and Claude, we just look at this and say it’s an additional surface, much like when you had desktops and you had mobile devices and then you had the web browsers, it represents another surface on which people want to create as well as they want to consume.”

That is management's interpretation of the same dynamic the reported numbers show. Not a competitive threat. An additional surface. Figma's Q1 just confirmed that framing with a live earnings print.

What the reported numbers say

Google’s design team building agentic Gemini experiences for enterprise customers uses Figma end-to-end. Their verbatim assessment: “we can only get to a level of detail that we want in Figma, that’s not possible with vibe coding.” That is a company explicitly stating that AI code generation does not replace the design layer. It makes it more necessary.

The displacement model assumes AI generates finished creative assets. It doesn’t. Every AI-generated image enters a professional editing workflow: color correction, masking, brand compliance, format conversion. Every AI-generated video requires audio sync, color grading, export optimization. AI generation increases the volume of assets flowing into Adobe’s tools. Generative credit consumption +45% QoQ in Q1 FY2026, following 3× QoQ in Q4 FY2025, is that mechanism in reported numbers across two consecutive quarters. The displacement narrative and the reported data are pointing in opposite directions. The reported data is primary source. The narrative is not.

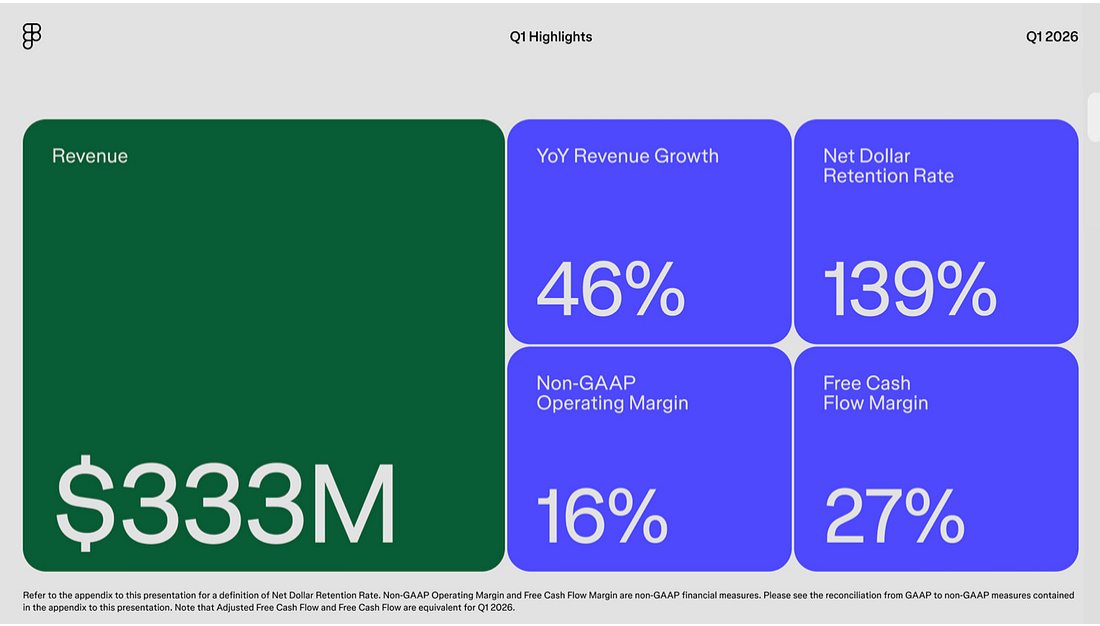
On margins: Adobe's non-GAAP operating margin held at 47.4% through two consecutive quarters of accelerating consumption. The “AI

spending compresses margins” angle is not in the reported numbers.

On Figma’s consumption model as a leading indicator: Figma implemented credit limits on March 18. As of the end of April, 75% of org and enterprise users who were previously over their credit limit continued consuming credits. 95% of those users remained active on the platform. Figma is one quarter ahead of Adobe on credit enforcement. Their retention data is the forward indicator for what Adobe’s consumption monetization looks like at scale.

MCP weekly active users in Figma Design grew 5× QoQ. Among customers with more than $100,000 in ARR, those using MCP grew full seats approximately 70% faster over the quarter than customers not using MCP. Adobe has already deployed hundreds of MCP endpoints. Wadhwani verbatim, April 21: “Hundreds of MCP endpoints and probably 100-or-so skills already sort of in pipeline.” The seat expansion mechanism Figma documented today is the same mechanism Adobe is already running.

These are not projections. They are reported metrics from a live quarter.



Figma Q1 2026 key metrics. Source: Figma Q1 2026 Earnings Presentation, May 14, 2026.

The enterprise layer the market is ignoring

Durn verbatim, April 21: “We have 3 solutions now. Each of them is greater than $1 billion. And in the aggregate, those three $1 billion businesses are growing greater than 20% YoY.”

Three separate enterprise solutions each above $1B growing >20% aggregate is not in any street model at 7.92× NTM EV/EBITDA. If credits were substituting for seats, enterprise expansion would compress as customers traded seats for credits. It is accelerating alongside consumption, not compressing under it. That is customer behavior, not management framing. Procter & Gamble was named at Summit as a customer deploying coworkers and agents for content production at scale, priced on capacity, not seats. The outcome-based pricing model is not a roadmap item. It is in current enterprise deals.

The Adobe read-through

Adobe trades at 7.92× NTM EV/EBITDA, below its 2022 rate-shock trough, below IBM at 12.85× NTM EV/EBITDA on 23 percentage points less operating margin. The bear case in my investment memo is 7×. The bear case is losing its primary source support.

Three things sit in ADBE’s multiple.

1. A systematic market reflex: every major AI image generation announcement (GPT image gen, Sora, Midjourney updates, Claude image capabilities) has triggered selling in ADBE on the displacement narrative. This reflex has fired repeatedly since

December 2024 and has been contradicted by reported data every quarter since. The CEO just described every such announcement as an additional surface on April 21. The reflex and the primary source are pointing in opposite directions.

2. IGV cohort drag: Adobe was sold alongside the broader SaaS complex regardless of its own metrics.
3. CEO succession risk: Narayen announced his departure on March 12. The successor has not been named.

Figma just printed empirical evidence that the design software category is expanding under AI pressure. The primary driver of that multiple compression has just lost its primary source support.

The product category distinction

Google chose Figma for UX product design, not Adobe. This is not a defection. Adobe attempted to acquire Figma for $20 billion in 2022 specifically because they could not win that category organically. The deal was blocked by regulators but the strategic admission is on record.

Adobe's moat in enterprise marketing is not software history. It is 70 billion profile activations and a trillion customer experiences annually flowing through Adobe Experience Platform (AEP) per Chakravarthy verbatim, April 21. That data infrastructure is not replicated by pointing a chat interface at a commodity image generation model.

99% of Fortune 100 companies are deployed on Firefly Foundry. Google's UX team choosing Figma says nothing about whether Google's marketing team is staying on Adobe. RPO at $22.22 billion growing 13% YoY suggests they are.

On the SMB and freemium cohort where Microsoft Copilot bundling lives as a substitution risk, Acrobat AI Assistant ARR tripled YoY and creative freemium MAU crossed 80M, +50% YoY, in Q1. Copilot is in market. The cohort isn't compressing.

What breaks the thesis

RPO growth below 10% YoY for two consecutive quarters triggers exit review. RPO declining YoY for two consecutive quarters triggers immediate exit. Firefly ARR below $250M in any reported quarter triggers immediate exit. The incoming CEO publicly signalling a strategic review, guidance suspension, or explicitly characterising the consumption model as secondary to subscription recovery triggers an immediate reduction.

June 11

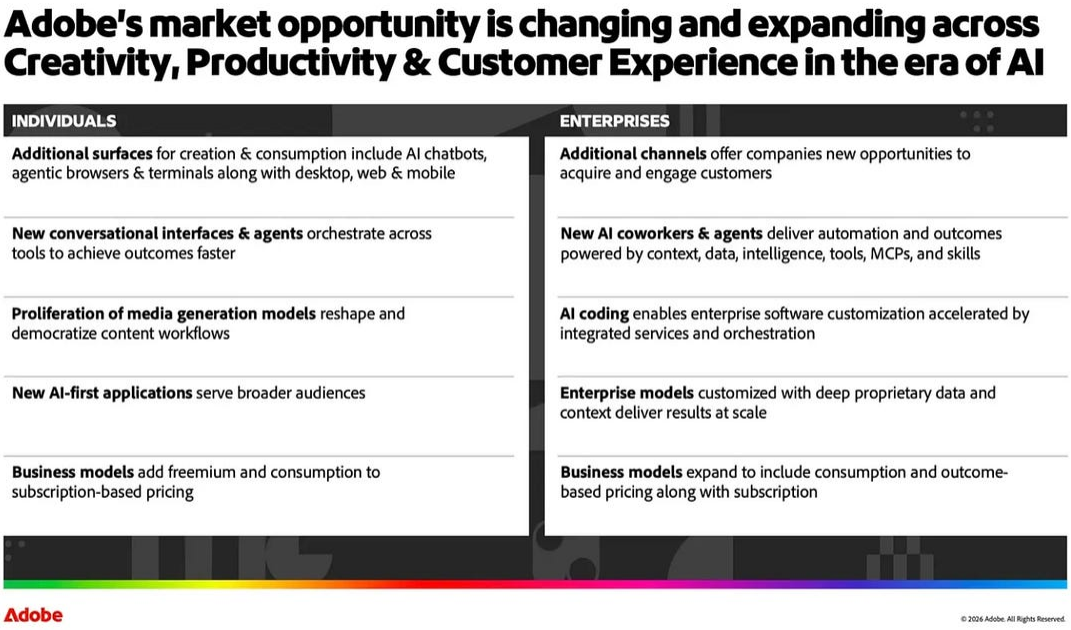
Adobe Q2 FY2026 earnings. Pre-registered gates: RPO growth at or above 10% YoY and Firefly ARR QoQ growth at or above 30%. Both must clear simultaneously.

June 11 delivers only the second standalone Firefly ARR figure ever reported. The first was Q1 FY2026. $250M at +75% QoQ, a business that did not exist two years ago. June 11 is the first confirmation of whether that trajectory holds.

June 11 is also a potential three-catalyst event.

First, model rebuild. Semrush closes in Q2 per Clark verbatim April 21. Incorporating Semrush forces a full model rebuild. That rebuild requires analysts to explicitly assign a growth rate to every component, including Firefly ARR and the consumption layer for the first time in

institutional spreadsheets. Semrush itself is not needle-moving. The model architecture change around it is.



Adobe's market opportunity framework, consumption pricing additive to subscription across both individual and enterprise columns. Source: Adobe Summit 2026 Financial Analyst Meeting, April 21, 2026.

Second, consumption first full quarter post-Summit. The Firefly ARR figure on June 11 is the first reported number reflecting a full quarter of post-Summit enterprise activity.

Third, CEO succession. If the successor is named before or on June 11, the succession risk premium embedded since March 12 gets removed permanently.

Any two of the three firing simultaneously changes the multiple conversation materially.

The consumption model has two quarters of acceleration and holding margins behind it. The multiple has not moved.

Pushback welcome.

Disclosure: I hold a position in Adobe. This material is for informational purposes only and does not constitute investment advice. All figures from Figma Q1 2026 earnings call transcript May 14, 2026 — Field and Melwani verbatim; Figma Q1 2026 earnings press release, May 14, 2026; Adobe Summit 2026 Financial Analyst Meeting transcript April 21, 2026 — Narayen, Wadhwani, Durn verbatim; Adobe Q1 FY2026 earnings call and press release March 12, 2026 — Durn verbatim; Adobe Q4 FY2025 earnings call December 10, 2025; Adobe Newsroom March 12, 2026. IBM NTM EV/EBITDA and margin figures from TIKR Terminal as of May 15, 2026. Adobe forward multiples from TIKR Terminal as of May 15, 2026. Stock price data from Yahoo Finance.